

Two days after price closed the gap in the throwback, “I bought at 43.”

In the days that followed, the stock dropped. “It’s been my experience that many of my trades either do well right from the start or fall apart. This looked as if it were going to crumble, so I placed a stop-loss order at 37.93.” That was below the round number support at 38 and just below the diamond bottom.

Price climbed. When they closed above the prior minor high, point D, he raised his stop to just below point E, a nearby minor low. Price continued higher for two more days, then retraced its gains, attempted another high (point F), and then started a long slide.

“I know from experience that failure of the stock to make a higher high [at point F] was a bearish sign [a 2B pattern], but hoped the stock would rebound. It didn’t. Instead, price gapped down and tripped my stop. I took a 5% loss.”

What did he do wrong? I would not have taken this trade because of nearby overhead resistance. Since there are plenty of chart patterns in other stocks under more promising circumstances, why take one with high risk and limited profit potential? On the plus side, he used a stop-loss order and raised it as price climbed. Eventually, the order took him out for a small loss. That is the way it should work when a trade goes bad. Let your profits run and cut your losses short.